

25STCV12658 25STCV12658

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Enriquez, et al. v. General Motors, LLC

Defendant GM's Demurrer to Complaint

BACKGROUND

This is a lemon law action arising out of the purchase of a 2023 Cadillac Escalade, manufactured and distributed by Defendant. Plaintiff brings this action for violations of the Song-Beverly Act and fraudulent concealment.

DISCUSSION

Defendant demurs to the cause of action for fraudulent inducement on the grounds it fails to state sufficient facts and is barred by the economic loss rule.

The Court of Appeal in *Dhital v. Nissan*

North America, Inc. (2022) 84 Cal.App.5th 828, addressed issues almost identical to those in this demurrer. The *Dhital* court found that the

following allegations were sufficient to state a cause of action for fraud:

“plaintiffs alleged the CVT transmissions installed in numerous Nissan vehicles (including the one plaintiffs purchased) were defective; Nissan knew of the defects and the hazards they posed; Nissan had exclusive knowledge of the defects but intentionally concealed and failed to disclose that information; Nissan intended to deceive plaintiffs by concealing known transmission problems; plaintiffs would not have purchased the car if they had known of the defects; and plaintiffs suffered damages in the form of money paid to purchase the car.”

(Id. at 844.) Plaintiffs have alleged analogous facts here. These allegations are sufficient to establish fraud.

Dhital also addressed whether the economic loss rule bars claims for fraud by concealment under *Robinson Helicopter Co., Inc. v. Dana Corp.* (2004) 34 Cal. 4th 979. The Dhital court explained,

Applying

Robinson here (and cognizant that our Supreme Court may soon provide additional guidance), we conclude plaintiffs' claim for fraudulent inducement by concealment is not subject to demurrer on the ground it is barred by the economic loss rule. Robinson left undecided whether concealment-based claims are barred by the economic loss rule. What follows from its analysis, however, is that concealment-based claims for fraudulent inducement are not barred by the economic loss rule. The reasoning in Robinson affirmatively places fraudulent inducement by concealment outside the coverage of the economic loss rule. We now hold that the economic loss rule does not cover such claims. First, as discussed, Robinson identified fraudulent inducement as an existing exception to the economic loss rule, before it proceeded to analyze the particular claims at issue in that case relating to fraud during the performance of a contract. (Robinson, *supra*, 34 Cal.4th at pp. 989–990, 22 Cal.Rptr.3d 352, 102 P.3d 268.) For fraudulent inducement and the other existing exceptions listed in Robinson, “ ‘the duty that gives rise to tort liability is either completely independent of the contract or arises from conduct which is both intentional and intended to harm.’ ” (Id. at p. 990, 22 Cal.Rptr.3d 352, 102 P.3d 268.)

(Id. at 840-841.)

In December 2024, the Supreme Court of California dismissed the appeal of Dhital, making its holding binding. Plaintiffs have alleged a claim for fraud by concealment. The economic loss rule does not act as a bar to this claim.

Defendant asserts that the Supreme Court ruling in *Rattagan v. Uber Technologies* (2024) 17 Cal.5th 1 requires a different result. Specifically, Defendant contends that Rattagan requires the Plaintiff allege a direct dealing or relationship between the parties in order to establish a duty to disclose for a fraudulent concealment claim. Defendant asserts that Plaintiffs have not done so here. Plaintiffs

allege that Plaintiffs entered into a warranty contract with Defendant. This allegation is sufficient to create a direct transactional relationship.

Defendant also argues that under Rattagan, Plaintiffs cannot allege the fraud claim arises independently from the contractual relationship, thus barring the claim. The Court disagrees. Plaintiffs allege Defendants concealed material facts in order to induce Plaintiffs to purchase the vehicle. These facts amount to fraudulent concealment regardless of the parties' contractual relationship.

CONCLUSION

The Court overrules Defendant's demurrer.
Defendant shall file its answer within 10 days.

Defendant shall give notice.